

ResMed Inc. – NYSE: RMD

Don't Sleep on ResMed!

ResMed Inc. is a global leader in medical devices and digital health solutions for sleep apnea, respiratory, and chronic conditions. The company was founded in 1989 in San Diego, California and made their IPO in 1995. RMD operates out of two main segments: Sleep & Breathing Health and Residential Care Software. Their Sleep & Breathing Health focuses on the everyday consumer with a combination of ventilation, diagnostic, and software products aimed at assisting with all areas of sleep and respiratory conditions. Alternatively, their Residential Care Software segment targets healthcare providers by offering cloud-based solutions support them in business management, electronic records, analytics, and more.

Company Analysis

The medical devices industry is valued around \$856B with a 9.2% CAGR. ResMed is well-positioned in the industry because of rising chronic disease prevalence, the aging population, and continued underdiagnosis of sleep apnea globally. RMD is a stock worth close attention because of how deliberately it is expanding its footprint within the sleep health market. The company recognizes the growing opportunity in this market as the everyday consumer gains more interest in wellness. This growth plan suggests that management believes its true competitive advantage comes from the manufacturing scale, regulatory expertise, and distribution network that have already made it the leading name in sleep apnea therapy.

As diagnosis rates for Obstructive Sleep Apnea (OSA) continue to improve, ResMed's addressable customer base expands as well, a demand driver that does not require the company to out-compete rivals for existing patients but instead benefits simply from more individuals entering the diagnosed and treated population.

Stock

BUY

Price (as of 8/6/2026): \$223.24

52 Week Range: \$180.27 - \$293.81

Shares Outstanding (MM): 145.06

Market Cap (B): 32.37

Trailing P/E: 21.52x

Forward P/E: 19.52x

Competitors

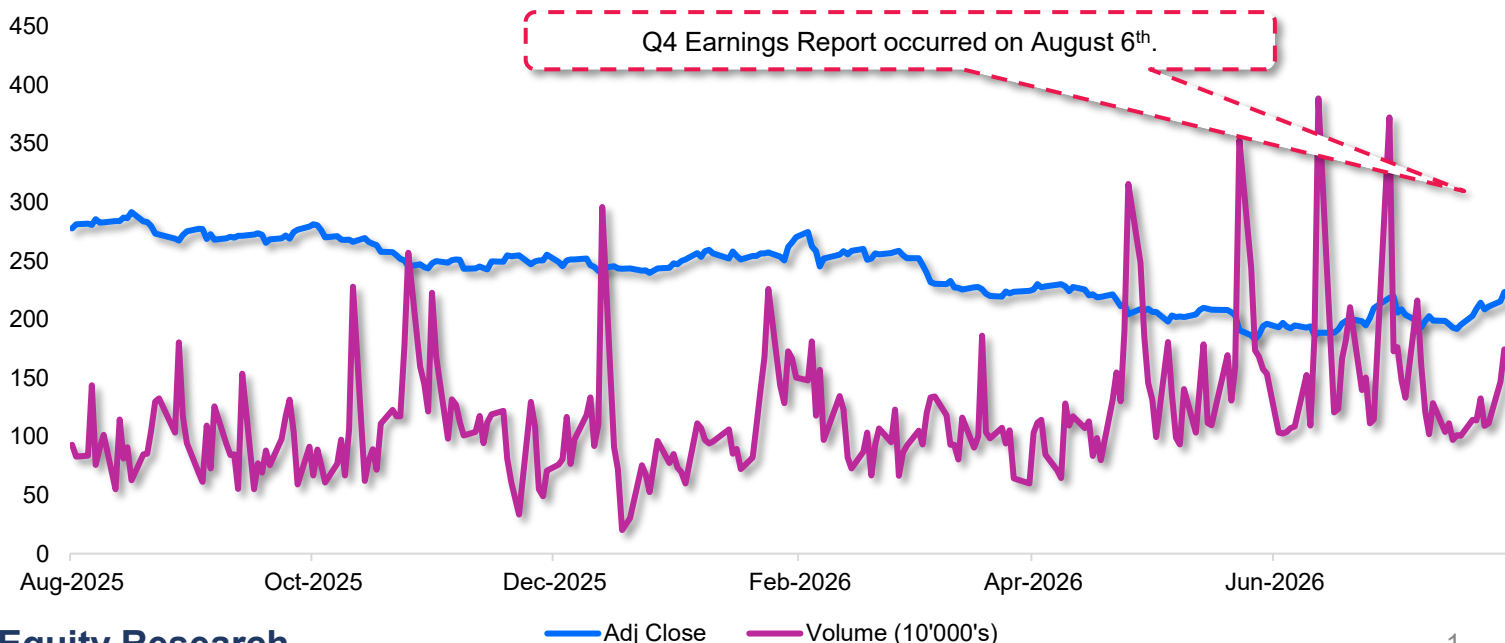


Medtronic



Abbott

Stock Chart



Company Analysis

ResMed's recent collaboration with OURA, a technology company that produces wearable rings that track sleep health, has driven more than 13,000 new users on the ResMed website coming directly from the OURA app and partaking in ResMed's diagnostic sleep assessment in the past month. This strategic collaboration is utilizing the public's interest in sleep health technology to drive more diagnoses and gain new customers.

Additionally, ResMed is working to extend its reach beyond respiratory devices altogether. With the completed acquisition of Noctrix Health, the company has established an initial foothold in the treatment of restless leg syndrome (RLS), another disruptive sleep disorder that affects over 17 million adults in the U.S. alone. This move emphasizes ResMed's efforts to maintain leadership over the sleep health market. This is paired with the pending sale of MatrixCare, a substantial piece of ResMed's Residential Care Software segment representing approximately \$220 million in revenue, pointing to a clear and intentional strategic path.

ResMed's overall goal is to increase the overall customer experience. This is exemplified by the strong product catalog that they are consistently expanding through acquisition, research, and geographic expansion. The global launch of the AirCurve 11, one of their latest respiratory devices that pulls together device innovation and personalized digital engagement, has been successfully expanding ResMed's reach into global markets like Singapore, Hong Kong, and New Zealand. As the company grows, they continue to prioritize the ease of customers and finding new ways to enhance the customer journey. The company allocates approximately 6-7% of its annual revenue to research and development, part of a broader five-year outlook through 2030 that targets sustained gross margin expansion and earnings growth that consistently outpaces revenue growth.

Graphs

